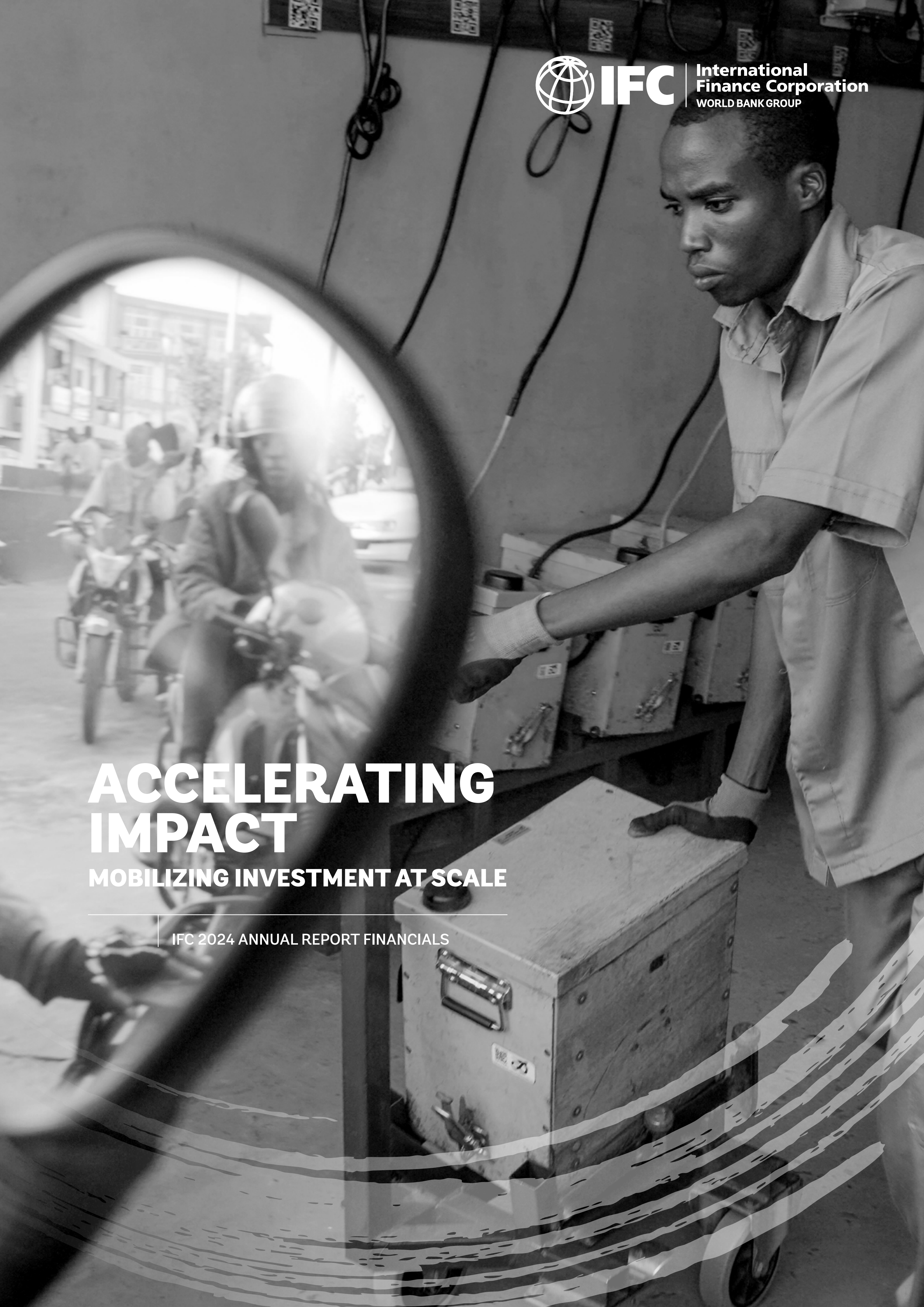


ACCELERATING IMPACT

MOBILIZING INVESTMENT AT SCALE

IFC 2024 ANNUAL REPORT FINANCIALS

Table of Contents

MANAGEMENT'S DISCUSSION AND ANALYSIS

This Management's Discussion and Analysis (MD&A) discusses the financial results of the International Finance Corporation (IFC or the Corporation) for the fiscal year ended June 30, 2024 (FY24). The MD&A contains forward-looking statements which may be identified by such terms as "anticipates", "believes", "expects", "intends", "plans", "aims" or words of similar meaning. Such statements involve a number of assumptions and estimates that are based on current expectations, which are subject to risks and uncertainties beyond IFC's control. Consequently, actual future results could differ materially from those currently anticipated. IFC undertakes no obligation to update any forward-looking statements. Certain reclassifications of prior years' information have been made to conform with the current year's presentation.

Table 1: Selected Financial Data

FOR THE YEAR ENDED JUNE 30 (US$ in millions)	2024 (FY24)	2023 (FY23)	2022 (FY22)
Investments Highlights (Section III)			
Own Account Commitments (Long-Term Finance (LTF) and Short-Term Finance (STF) Commitments)	**$ 31,654**	$ 27,704	$ 22,228
Core Mobilization (LTF and STF Commitments)[a]	**24,433**	16,025	11,363
Disbursements	**19,147**	18,689	13,198
Statement of Operations			
Net income (loss) (Section VIII)	**$ 1,485**	$ 672	$ (464)
Income available for designation[b] (Section II)	**1,558**	681	382

AS OF THE YEAR ENDED JUNE 30 (US$ in millions)	2024	2023
Balance Sheet		
Total assets	**$108,187**	$ 110,547
Liquid assets[c] (Section IV)	**37,734**	40,120
Investments (Section III)	**58,747**	51,502
Borrowings outstanding, including fair value adjustments (Section V)	**55,755**	52,443
Total capital (Section V)	**37,472**	35,038

a. Starting FY23, short-term finance core mobilization commitments were included in commitments reporting. Previous year's information was updated to conform with the current year's presentation.

b. Starting FY24, the Post-retirement Contribution Reserve Fund (PCRF) income was excluded from Income Available for Designations. Please refer to Section II: Basis of preparation of IFC's consolidated financial statements for more details.

c. Net of securities sold under repurchase agreements, payable for cash collateral received and associated derivatives.

AS OF THE YEAR ENDED JUNE 30	2024	2023
Capital Utilization Ratio		
Capital Utilization Ratio (CUR)	**60.5%**	60.7%

SECTION I.
EXECUTIVE SUMMARY

This executive summary highlights selected information and may not contain all of the information that is important to readers of this document. For a complete description of IFC's FY24 performance, as well as the risks and critical accounting estimates affecting IFC, this MD&A should be read in its entirety.

IFC is the largest global development institution focused on the private sector in developing countries. Established in 1956, IFC is owned by 186 member countries, a group that collectively determines its policies. IFC is a member of the World Bank Group (WBG)[1] but is a legal entity separate and distinct from IBRD, IDA, MIGA, and ICSID, with its own Articles of Agreement, share capital, financial structure, management, and staff. Membership in IFC is open only to member countries of IBRD. IFC is not liable for the obligations of the other institutions.

IFC's mission — as one of the WBG entities — is to end extreme poverty and boost shared prosperity on a livable planet. As the private sector arm of the WBG, IFC provides financing and advisory services to support private sector development in developing economies as a key engine of growth in line with good environmental, social and governance standards. To further support these efforts, the Board and Management have been working on evolving the WBG to better address the scale of development challenges. As part of this evolution, in October 2023, the Board of Governors endorsed the new vision and mission, as well as initiatives to increase impact, modernize the approach to delivery, and increase financing capacity. Since then, the WBG has started the implementation and operationalization of the evolution process to address countries' most pressing development challenges. IFC is at the forefront of these reforms in view of its private sector mandate to close the financing gap beyond what governments can provide alone to address global challenges. This includes piloting an originate to distribute approach, further identifying and addressing bottlenecks to private sector activities, while leveraging partnerships with other development financial institutions (DFIs) and multilateral development banks (MDBs) to scale impact — among others. Recently, IFC also supported the initiative to grant public access to the Global Emerging Markets (GEMs) default and recovery rates to enhance transparency, and help private sector investors boost confidence in emerging markets and make informed decisions.

In April 2018 IFC's Board of Governors approved a capital increase package comprising a three-step capital raising process: conversion of a portion of retained earnings into paid-in capital, a Selective Capital Increase (SCI), and General Capital Increase (GCI) that would together provide up to $5.5 billion in additional paid-in capital. In April 2024, the subscription deadline for the GCI was extended to April 16, 2025, resulting in the full alignment of the GCI and SCI subscription and payment deadlines. As of June 30, 2024, 135 countries have subscribed a total of $4.5 billion, and payments of $3.7 billion have been received from 109 countries.

Aligned with the capital increase, IFC continued to grow its footprint in the poorest countries and fragile areas. New and ongoing challenges continue to influence the global outlook. The Board endorsed the following global challenges: climate change adaptation and mitigation; fragility and conflict; pandemic prevention and preparedness; energy access; food and nutrition security; water security and access; enabling digitalization; and protecting biodiversity and nature. In response, IFC has been working with partners at global and country levels to support its clients in enhancing resilience and laying the groundwork for rebuilding better through various platforms. For example, in August 2023, IFC announced a $400 million increase and one-year extension of the Base of the Pyramid (BOP) platform, bringing IFC's total investment to $1 billion. First launched in 2021, the platform aims to help financial services providers deliver critical funding to small and informal businesses, and low-income households. In September 2023, IFC signed a $3.5 billion credit insurance policy with 13 global insurance companies under its Managed Co-Lending Portfolio Program (MCPP). The initiative, MCPP Financial Institutions Group III, will increase access to finance for micro, small and medium enterprises, including women-owned businesses, as well as firms addressing climate change. On July 1, 2024, the WBG guarantee platform, housed at MIGA, was launched to bring together products and experts from the World Bank, IFC, and MIGA and aims to boost WBG annual guarantee issuances for all entities.

FINANCIAL PERFORMANCE SUMMARY

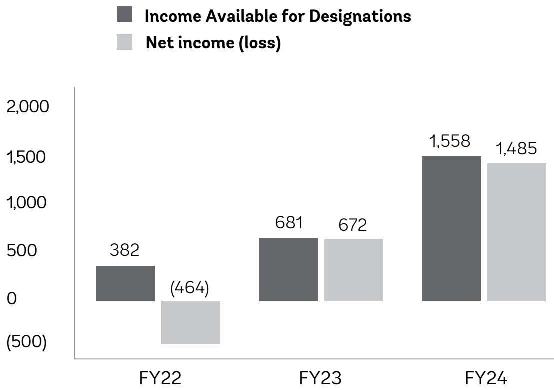
IFC's financial performance has been influenced by the changes in interest rates in FY24.

NET INCOME AND INCOME AVAILABLE FOR DESIGNATIONS

IFC's net income was $1.5 billion in FY24, as compared to net income of $672 million in FY23. Income Available for Designations totaled $1.6 billion in FY24, as compared to an income of $681 million in FY23. Starting in FY24, the Post-retirement Contribution Reserve Fund (PCRF) income is excluded from Income Available for Designations. See Section II: Basis of preparation of IFC's consolidated financial statements for more details. The increase in Net Income and Income Available for Designations was mainly driven by higher treasury income and strong net interest income on loans and debt securities in FY24.

1. The other institutions of the WBG are the International Bank for Reconstruction and Development (IBRD), the International Development Association (IDA), the Multilateral Investment Guarantee Agency (MIGA), and the International Centre for Settlement of Investment Disputes (ICSID).

Figure 1: Income Measures
(US$ in millions)



INVESTMENT OPERATIONS

In FY24, IFC delivered a combined total of $56.1 billion in long-term and short-term financing, representing an increase of 28 percent compared to FY23. IFC committed $31.7 billion from its own account ($27.7 billion in FY23) and disbursed $19.1 billion in FY24 ($18.7 billion in FY23) excluding guarantees. See more details in Section III: Client Services.

Figure 2: LTF and STF Commitments (US$ in billions)

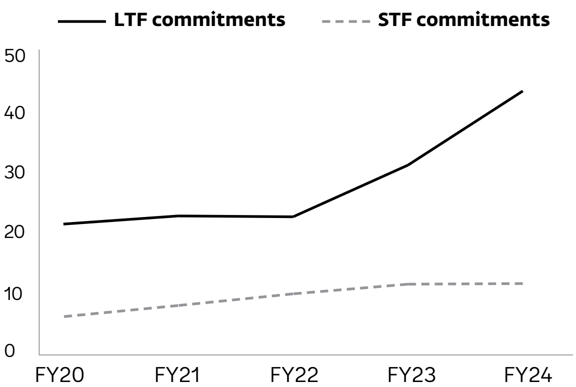
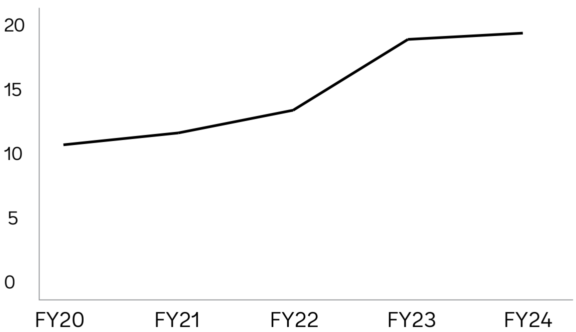


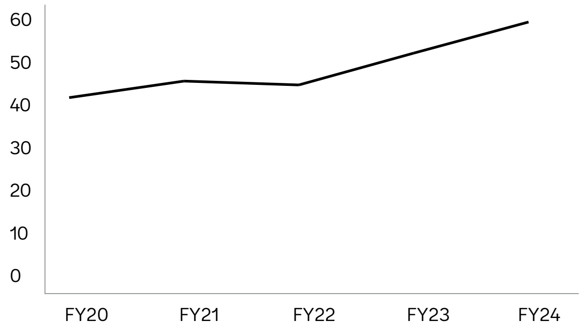
Figure 3: Disbursements
(US$ in billions)



INVESTMENT PORTFOLIO

The carrying value[2] of IFC's outstanding investment portfolio was $58.7 billion as of June 30, 2024, an increase of $7.2 billion compared to June 30, 2023. The portfolio's growth primarily resulted from the $7.7 billion of net disbursements (disbursements net of repayments, prepayments, and divestments), during FY24.

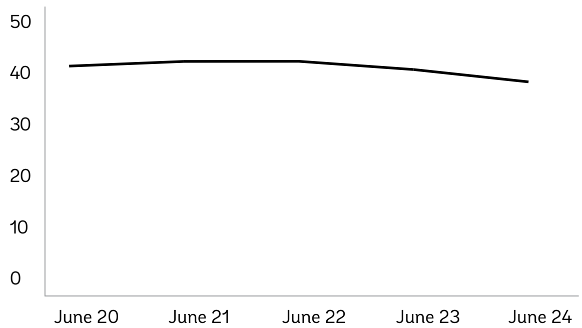
Figure 4: Investments
(US$ in billions)



LIQUID ASSETS

The Net Asset Value (NAV) of the liquid asset portfolio decreased by $2.4 billion to $37.7 billion at June 30, 2024 from June 30, 2023. The decrease was primarily driven by the $2.3 billion decrease in the market funded liquidity portfolio, since outflows from net loan disbursements exceeded inflows from net borrowings. The net worth funded liquidity portfolio decreased slightly by $76 million in FY24.

Figure 5: Liquid Assets
(US$ in billions



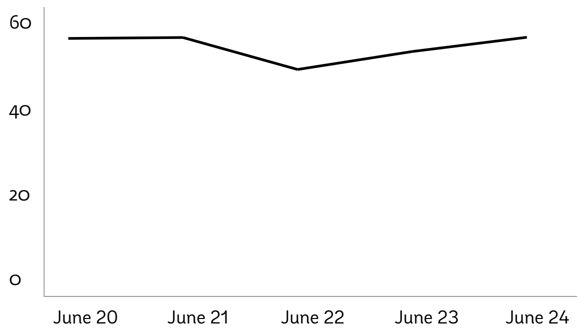
2. Please refer to Section III: Client Services Disbursed Investment Portfolio section for the definition of carrying value.

BORROWINGS

Borrowings outstanding (including fair value adjustments) increased by $3.4 billion from $52.4 billion as of June 30, 2023 to $55.8 billion as of June 30, 2024, mainly due to net new issuances of $3.7 billion.

New borrowings under the medium- and long-term borrowing program (on a funding authorization basis) in FY24 were $13.1 billion as compared to $13.7 billion in FY23.

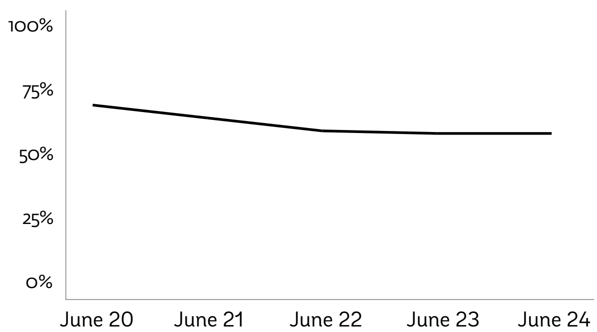
Figure 6: Borrowings
(US$ in billions)



ECONOMIC CAPITAL FRAMEWORK

IFC's Capital Adequacy, as measured by CUR stood at 60.5 percent as of June 30, 2024, slightly lower than the 60.7 percent as of June 30, 2023. The reduction (lower capital utilization) in CUR was largely attributed to an increase in Capital Available, resulting from increases in undesignated retained earnings, paid-in capital, and other comprehensive income. There was also an increase in Capital Required, primarily due to the need for additional capital to support the Loan and Equity portfolios. During FY24, IFC updated its capital adequacy framework. Effective from Q3, IFC increased the granularity in economic capital calculations for trade finance, and also brought IFC's definition of Capital Available more closely into alignment with Basel Framework and S&P rating methodology by deducting the pension surplus of each pension plan. Effective from Q4, IFC excluded the PCRF assets from Capital Available, aligning with its intended use for post-retirement contributions.

Figure 7: Capital Utilization Ratio



SECTION II. OVERVIEW

IFC is the largest global development institution focused on the private sector in developing countries. Established in 1956, IFC is owned by 186 member countries, a group that collectively determines its policies. IFC is a member of the WBG but is a legal entity separate and distinct from IBRD, IDA, MIGA, and ICSID, with its own Articles of Agreement, share capital, financial structure, management, and staff. Membership in IFC is open only to member countries of IBRD. IFC is not liable for the obligations of the other WBG institutions.

FINANCIAL BUSINESS MODEL

IFC helps developing countries achieve sustainable growth by financing private sector investment, mobilizing capital in international financial markets, and providing advisory services to businesses and governments. IFC's principal investment products are loans, equity investments, debt securities and guarantees. IFC also plays an active and direct role in mobilizing additional funding from other investors and lenders through a variety of means (Core Mobilization). Unlike most other development institutions, IFC does not accept host government guarantees of repayment. IFC raises virtually all of the funds for its lending activities through the issuance of debt obligations in the international capital markets, while maintaining a small borrowing window with IBRD. Equity investments are funded from capital (net worth). Proceeds of borrowings from market sources or net worth not immediately disbursed for investments are managed internally by IFC in its liquid asset portfolio.

IFC's capital base and its assets and liabilities, other than its equity investments, are primarily denominated in U.S. dollars ($ or US$) or swapped into U.S. dollars. Overall, IFC seeks to minimize foreign exchange and interest rate risks arising from its loans, debt securities and liquid assets by closely matching the currency and rate basis of its assets in various currencies with liabilities having the same characteristics. IFC generally manages non-equity investment related and certain lending related residual currency and interest rate risks by utilizing currency and interest rate swaps and other derivative instruments.

BASIS OF PREPARATION OF IFC'S CONSOLIDATED FINANCIAL STATEMENTS

The accounting and reporting policies of IFC conform with accounting principles generally accepted in the United States of America (U.S. GAAP). IFC's accounting policies are discussed in more detail in Section VII: Critical Accounting Policies, and in Note A to IFC's consolidated financial statements as of and for the year ended June 30, 2024 (FY24 consolidated financial statements). Certain reclassifications of prior years' information have been made to conform with the current year's presentation.

IFC uses Income Available for Designations (a non-U.S. GAAP measure) as a basis for designations of retained earnings. Prior to FY24, Income Available for Designations comprise net income excluding unrealized gains and losses on investments and borrowings[3] as well as grants to IDA, which were suspended in FY20 following the conclusion of the IDA Eighteen Replenishment of Resources (IDA18). In FY24, IFC updated the calculation of Income Available for Designations to exclude income from Post-retirement Contribution Reserve Fund (PCRF), aligning it with its intended use for post-retirement contributions. This change, approved by the Board in June 2024, is effective from FY24 and is reflected in the table below.

Table 2: Reconciliation of Net Income or Loss to Income Available for Designations

FOR THE YEAR ENDED JUNE 30 (US$ in millions)	**2024**	**2023**	**2022**
Net income (loss)	**$ 1,485**	**$ 672**	**$ (464)**
Adjustments to reconcile Net income (loss) to Income Available for Designations			
Unrealized losses (gains) on investments	49	(41)	740
Unrealized losses on borrowings	54	50	106
PCRF Income	(30)	–	–
Income Available for Designations	**$ 1,558**	**$ 681**	**$ 382**

3. Unrealized gains and losses on investments and borrowings presented in the table includes unrealized gains and losses from associated derivatives.

Table 3: Summary of Financial Results

FOR THE YEAR ENDED JUNE 30 (US$ in millions)	2024	2023	2022
Consolidated statement of operations highlights:			
Income from loans and guarantees, including realized gains and losses on loans and associated derivatives	**$ 3,204**	$ 2,290	$ 1,156
Provision for losses on loans, off-balance sheet credit exposures and other receivables	**(9)**	(22)	(126)
Income from equity investments and associated derivatives	**142**	191	208
Income from debt securities, including realized gains and losses on debt securities and associated derivatives	**811**	518	414
Provision for losses on available-for-sale debt securities	**(12)**	(7)	(14)
Income (loss) from liquid asset trading activities	**2,391**	1,464	(413)
Charges on borrowings	**(3,815)**	(2,598)	(302)
Other income	**587**	518	419
Other expenses	**(1,827)**	(1,721)	(1,653)
Foreign currency transaction (losses) gains on non-trading activities	**(115)**	(86)	76
Income (loss) before net unrealized gains and losses on non-trading financial instruments accounted for at fair value and grants to IDA	**$ 1,357**	$ 547	$ (235)
Net unrealized gains (losses) on non-trading financial instruments accounted for at fair value	**128**	125	(229)
Net income (loss)	**$ 1,485**	$ 672	$ (464)

AS OF THE YEAR ENDED JUNE 30 (US$ in millions)	2024	2023
Consolidated balance sheet highlights:		
Total assets	**$108,187**	$ 110,547
Liquid assets[a]	**37,734**	40,120
Investments	**58,747**	51,502
Borrowings outstanding, including fair value adjustments	**55,755**	52,443
Total capital	**$ 37,472**	$ 35,038
of which		
Undesignated retained earnings	**$ 13,133**	$ 11,589
Designated retained earnings	**162**	221
Accumulated other comprehensive income (AOCI)	**957**	632
Paid-in capital	**23,220**	22,596

a. Net of securities sold under repurchase agreements, payable for cash collateral received and associated derivatives.

Table 4: Key Financial Ratios

AS OF THE YEAR ENDED JUNE 30 (US$ in billions, except ratios)	2024	2023
Overall liquidity ratio[a]	**81.0%**	103.8%
Debt-to-equity ratio[b]	**1.7**	1.6
Total reserve against losses on loans to total disbursed portfolio[c]	**2.9%**	3.7%
Capital measures:		
Capital Available[d]	**$ 36.6**	$ 34.8
Capital Required[e]	**22.2**	21.1
Capital Utilization Ratio[f]	**60.5%**	60.7%

a. Overall Liquidity Policy states that IFC would at all times maintain a minimum level of liquidity, plus undrawn borrowing commitments from the IBRD, such that it would cover at least 45% of the next three years' estimated net cash requirements. IFC's overall liquidity as a percentage of the next three years' estimated net cash needs stood at 81% as of June 30, 2024, above the minimum requirement of the Board of 45%.

b. Debt-to-equity (leverage) ratio is defined as outstanding borrowings plus committed guarantees divided by total capital and comprises paid-in capital, retained earnings and Accumulated other comprehensive income (loss). IFC's debt-to-equity ratio as of June 30, 2024 was well within the maximum of 4 required by the policy approved by IFC's Board of Directors.

c. Total reserve against losses on loans to total disbursed loan portfolio is defined as reserve against losses on loans as a percentage of the total disbursed loan portfolio.

d. Capital Available: Resources available to absorb potential losses, calculated as: IFC's balance sheets capital minus designated retained earnings minus Pension surplus of each pension plan minus PCRF assets.

e. Capital Required: Aggregate minimum Economic Capital required to maintain IFC's AAA rating.

f. CUR is defined as Capital Required divided by Capital Available.

SECTION III. CLIENT SERVICES

BUSINESS OVERVIEW

For all new investments, IFC articulates the expected impact on sustainable development and, as projects mature, assesses the quality of the development benefits realized. IFC's strategic focus areas are aligned to advance the WBG's global priorities.

INVESTMENT SERVICES

IFC's investments are normally made in its developing member countries. IFC's Articles of Agreement mandate that IFC shall invest in productive private enterprises. The requirement for private ownership does not disqualify enterprises that are partly owned by the public sector if such enterprises are organized under local commercial and corporate law, operate free of host government control in a market context and according to profitability criteria, and/or are in the process of being completely or partially privatized.

IFC's investment project cycle generally includes the following stages:

IFC supervises its investments by closely monitoring project performance and ensuring compliance with contractual obligations and IFC's internal policies and procedures.

IFC's investment products and services are designed to meet the needs of clients in different industries — principally infrastructure, manufacturing, agribusiness, disruptive technologies and funds, services, and financial markets. Investment services product lines include: loans, equity investments, debt securities, trade and commodity finance, guarantees and partial credit guarantees, securitizations, client risk management services, blended finance, and mobilization products discussed below.

INVESTMENT PRODUCTS

Loans — IFC finances projects and companies through loans from its own account, typically for seven to twelve years. IFC also makes loans to intermediary banks, leasing companies, and other financial institutions for on-lending. While IFC's loans have traditionally been denominated in the major currencies, IFC has made it a priority to structure local currency products. IFC has provided funding in 74 local currencies. Pricing of IFC loans reflects market conditions and country and project risks, and loans are typically variable rate (or swapped into variable rate).

Equity Investments — Equity investments provide developmental support and long-term growth capital that private enterprises need. IFC invests directly in companies' equity, and also through private-equity funds. IFC generally invests between 5 and 20 percent of a company's equity. IFC's equity investments are typically in the form of common or preferred stock which is not

Figure 8: IFC's Investment Project Cycle